Amendment of section 11.

7. In section 11 of the Income-tax Act,—

(*A*) in sub-section (1),—

(*a*) in *Explanation 1*, in clause (*2*), in sub-clause (*ii*), in the long line, for the words "before the expiry of the time allowed", the words "at least two months prior to the due date specified" shall be substituted;

(*b*) in *Explanation 4*,—

(*I*) in clause (*i*),—

(*a*) in the proviso, for the words "deposit; and", the word "deposit:" shall be substituted;

(*b*) after the proviso, the following provisos shall be inserted, namely:—

"**Provided further** that provisions of the first proviso shall apply only if there was no violation of the conditions specified—

(*a*) in clause (*c*) of this sub-section;

(*b*) in *Explanations 2*, *3* and *5* of this sub-section;

(*c*) in the *Explanation* to this section; and

(*d*) in clause (*c*) of sub-section (1) of section 13,

at the time the application was made from the corpus:

Provided also that the amount invested or deposited back shall not be treated as application for charitable or religious purposes under the first proviso unless such investment or deposit is made within a period of five years from the end of the previous year in which such application was made from the corpus:

Provided also that nothing contained in the first proviso shall apply where application from the corpus is made on or before the 31st day of March, 2021;";

(*II*) in clause (*ii*), after the proviso, the following provisos shall be inserted, namely:—

"**Provided further** that provisions of the first proviso shall apply only if there was no violation of the conditions specified—

(*a*) in clause (*c*) of this sub-section;

(*b*) in *Explanations 2*, *3* and *5* of this sub-section;

(*c*) in the *Explanation* to this section; and

(*d*) in clause (*c*) of sub-section (1) of section 13,

at the time the application was made from loan or borrowing:

Provided also that the amount repaid shall not be treated as application for charitable or religious purposes under the first proviso unless such repayment is made within a period of five years from the end of the previous year in which such application was made from loan or borrowing:

Provided also that nothing contained in the first proviso shall apply where application from any loan or borrowing is made on or before the 31st day of March, 2021; and";

(*III*) after clause (*ii*), the following clause shall be inserted with effect from the 1st day of April, 2024, namely:—

"(*iii*) any amount credited or paid, other than the amount referred to in *Explanation 2*, to any fund or trust or institution or any university or other educational institution or any hospital or other medical institution referred to in sub-clause (*iv*) or sub-clause (*v*) or sub-clause (*vi*) or sub-clause (*via*) of clause (*23C*) of section 10, as the case may be, or other trust or institution registered under section 12AB, as the case may be, shall be treated as application for charitable or religious purposes only to the extent of eighty-five per cent of such amount credited or paid.";

(*B*) in sub-section (2), in clause (*c*), for the words "on or before", the words "at least two months prior to" shall be substituted;

(*C*) in sub-section (7), with effect from the 1st day of April, 2024,—

(*a*) for the words, brackets and figures "and clause (*46*)", the words, brackets, figures and letter ", clause (*23EC*), clause (*46*) and clause (*46A*)" shall be substituted;

(*b*) in the first proviso, for the words, brackets and figures "under clause (*46*)", the words, brackets, figures and letter "under clause (*23EC*) or clause (*46*) or clause (*46A*)" shall be substituted;

(*c*) in the second proviso, for the words, brackets and figures "under clause (*46*)", the words, brackets, figures and letter "under clause (*23EC*) or clause (*46*) or clause (*46A*)" shall be substituted.